

HUMAN RESOURCE MANAGEMENT (HRM)

Human Resource Management (HRM) is the process of managing people in an organization to achieve organizational goals efficiently and effectively. It focuses on acquiring, developing, motivating, and retaining employees.

HRM plays a crucial role in improving productivity, maintaining good employee relations, and ensuring organizational success.

Objectives of HRM

1. Achieve organizational goals effectively
2. Ensure optimum utilization of human resources
3. Improve employee performance and productivity
4. Maintain good industrial relations
5. Provide job satisfaction to employees
6. Develop skills and capabilities of employees

Functions of HRM

HRM functions are broadly classified into two categories:

1. Managerial Functions

- **Planning** – Forecasting manpower requirements
- **Organizing** – Structuring roles and responsibilities
- **Directing** – Guiding and supervising employees
- **Controlling** – Monitoring performance

2. Operative Functions

- **Procurement** – Recruitment and selection
- **Development** – Training and development
- **Compensation** – Wages, salaries, incentives
- **Integration** – Maintaining harmony between employees and organization
- **Maintenance** – Employee welfare and safety

Importance of HRM

- Ensures effective use of manpower
- Improves employee morale
- Reduces labour turnover
- Enhances productivity
- Builds strong organizational culture
- Maintains good employer-employee relations

Scope of HRM

HRM covers a wide range of activities:

- Human resource planning
- Recruitment and selection
- Training and development
- Performance appraisal
- Compensation management
- Industrial relations
- Health and safety

Role of HR Manager

- Recruit and select employees
- Conduct training programs
- Handle employee grievances
- Maintain discipline
- Ensure compliance with labour laws
- Motivate employees

Advantages of HRM

- Improves organizational efficiency
- Develops employee skills
- Enhances job satisfaction
- Reduces conflicts
- Supports organizational growth

Limitations

- Costly implementation
- Requires skilled HR professionals
- Resistance to change
- Time-consuming processes

Human Resource Management is an essential function in any organization that focuses on managing people effectively. It ensures proper utilization of human resources, improves employee satisfaction, and contributes to organizational success. With increasing competition and globalization, HRM has become a strategic function for achieving long-term growth.

Concept of HRM

The concept of HRM is based on the following key ideas:

1. People as Valuable Assets

- Employees are considered the most important resource.
- Their skills, knowledge, and abilities contribute to organizational success.

HRM focuses on developing and utilizing human potential.

2. Integration of Individual and Organizational Goals

- HRM aims to align employee goals with organizational objectives.
- Ensures mutual benefit:
 - Organization → Productivity and growth
 - Employee → Job satisfaction and career development

3. Continuous Development

- Emphasis on training and skill development.

- Employees are continuously upgraded to meet changing technology and market needs.

4. Employee Participation

- Encourages involvement in decision-making.
- Promotes teamwork and cooperation.
- Improves motivation and morale.

5. Focus on Motivation and Satisfaction

- HRM ensures proper compensation, incentives, and work environment.
- Satisfied employees perform better.

6. Strategic Approach

- HRM is not just administrative; it is strategic.
- It supports long-term organizational planning and competitiveness.

7. Human Relations Approach

- Emphasizes good relationships between management and employees.
- Reduces conflicts and promotes harmony.

Features of HRM Concept

- People-oriented approach
- Continuous process
- Development-focused
- Integration of goals
- Emphasis on teamwork
- Future-oriented

Importance of HRM Concept

- Improves productivity
- Enhances employee satisfaction
- Reduces labour turnover
- Builds strong organizational culture
- Ensures efficient use of human resources

Personnel Management

Personnel Management refers to the traditional approach of managing employees in an organization. It focuses on administrative functions such as recruitment, wages, and employee welfare.

It is mainly concerned with maintaining workforce discipline and ensuring smooth functioning of organizational activities.

Objectives of Personnel Management

1. Efficient utilization of manpower
2. Recruitment and selection of employees
3. Providing fair wages and incentives
4. Maintaining discipline
5. Ensuring employee welfare

Features of Personnel Management

- Traditional approach
- Employee treated as a tool/resource
- Focus on administrative activities
- Reactive in nature
- Limited employee participation

Concept of Personnel Management

Personnel Management is a **traditional approach** that focuses on:

- Managing employee records
- Ensuring discipline
- Providing wages and benefits
- Maintaining employee welfare

Employees are considered as **resources or tools** for achieving organizational goals.

Functions of Personnel Management

1. Procurement

- Recruitment and selection of employees

2. Development

- Training and skill development

3. Compensation

- Wages, salaries, incentives, bonuses

4. Integration

- Maintaining coordination between employees and organization

5. Maintenance

- Employee welfare, safety, and working conditions

Limitations

- Lack of strategic focus
- Less emphasis on employee development
- Limited motivation and participation
- Not suitable for modern competitive environments

Industrial Relations (IR)

Industrial Relations refers to the relationship between management, employees, trade unions, and government in an organization.

It aims to maintain industrial peace, cooperation, and mutual understanding.

Objectives of Industrial Relations

1. To maintain industrial peace and harmony
2. To prevent conflicts and disputes
3. To promote cooperation between workers and management
4. To improve communication
5. To protect employee rights
6. To increase productivity

Components of Industrial Relations

1. Employers (Management) – Decision-makers
2. Employees (Workers) – Workforce

3. Trade Unions – Represent workers
4. Government – Enforces labour laws

Functions of Industrial Relations

1. Collective Bargaining

- Negotiation between management and trade unions regarding wages, working conditions, etc.

2. Grievance Handling

- Resolving employee complaints and issues

3. Dispute Settlement

- Handling strikes, lockouts, and conflicts

4. Labour Law Compliance

- Ensuring adherence to government regulations

5. Maintaining Discipline

- Ensuring proper conduct and order in the organization

Importance of Industrial Relations

- Promotes industrial peace
- Reduces strikes and lockouts
- Improves productivity
- Builds mutual trust and cooperation
- Ensures smooth functioning of the organization

Causes of Poor Industrial Relations

- Low wages
- Poor working conditions
- Lack of communication
- Unfair management practices
- Weak grievance handling

Basis	Personnel Management	Industrial Relations
Focus	Individual employees	Employer–employee relationship
Nature	Administrative	Relationship-oriented
Scope	Recruitment, wages, welfare	Disputes, unions, negotiations
Approach	Reactive	Preventive and cooperative
Objective	Efficient use of manpower	Industrial peace and harmony

Job Evaluation

Job Evaluation is a systematic process of determining the relative worth of jobs within an organization. It helps in establishing a fair and equitable wage structure by comparing different jobs based on their responsibilities, skills, effort, and working conditions.

It does not evaluate the employee, but evaluates the job itself.

Objectives of Job Evaluation

1. To establish a fair wage structure
2. To maintain internal equity among jobs
3. To eliminate wage inequalities
4. To provide a basis for promotions and transfers
5. To improve employee satisfaction

Importance of Job Evaluation

1. Ensures Fair Wages

- Provides equal pay for equal work
- Reduces wage discrimination

2. Maintains Internal Equity

- Helps compare different jobs within the organization
- Ensures proper wage differentials

3. Reduces Labour Turnover

- Fair compensation increases employee satisfaction
- Reduces dissatisfaction and attrition

4. Improves Industrial Relations

- Avoids disputes related to wages
- Builds trust between employees and management

5. Helps in Recruitment and Promotion

- Provides a clear structure for job hierarchy
- Helps in selecting and promoting employees

6. Basis for Incentive Plans

- Helps design bonus and incentive schemes
- Improves motivation and productivity

Types / Methods of Job Evaluation

Job evaluation methods are broadly classified into:

A. Non-Analytical Methods (Traditional Methods)

1. Ranking Method

Description:

- Jobs are ranked from highest to lowest based on importance.

Advantages:

- Simple and easy
- Less time-consuming

Disadvantages:

- Subjective
- Not suitable for large organizations

2. Job Classification (Grading) Method

Description:

- Jobs are grouped into different grades or classes.

Example:

- Grade I – Managers
- Grade II – Supervisors

- Grade III – Workers

Advantages:

- Easy to understand
- Suitable for government jobs

Disadvantages:

- Rigid classification
- Less precise

B. Analytical Methods (Modern Methods)

3. Point Rating Method

Description:

- Jobs are evaluated based on factors such as:
 - Skill
 - Effort
 - Responsibility
 - Working conditions
- Points are assigned to each factor.

Advantages:

- Scientific and objective
- Widely used

Disadvantages:

- Time-consuming
- Complex

4. Factor Comparison Method

Description:

- Jobs are compared based on key factors.
- Monetary values are assigned to each factor.

Advantages:

- Accurate and systematic
- Flexible

Disadvantages:

- Difficult to understand
- Requires expertise

Basis	Non-Analytical	Analytical
Approach	Whole job comparison	Factor-wise comparison
Accuracy	Less accurate	More accurate
Complexity	Simple	Complex
Example	Ranking, Grading	Point, Factor comparison

Job Evaluation is an essential tool in Human Resource Management for establishing a fair and equitable wage structure. It ensures internal equity, improves employee satisfaction, and reduces disputes. Various methods such as ranking, grading, point rating, and factor comparison are used depending on organizational needs. Proper job evaluation leads to better motivation, productivity, and organizational effectiveness.

Example of Job Evaluation**Case: Comparing Jobs in an Organization**

A company wants to determine fair salaries for different jobs based on their importance.

Jobs Considered:

- Job A: Machine Operator
- Job B: Supervisor
- Job C: Manager

Factors Used for Evaluation:

- Skill
- Effort
- Responsibility
- Working Conditions

Using Point Rating Method

Factors	Weight (%)	Operator	Supervisor	Manager
Skill	30	20	25	30
Effort	20	15	15	10
Responsibility	30	15	25	30

Factors	Weight (%)	Operator	Supervisor	Manager
Working Conditions	20	20	15	10
Total Points	100	70	80	80+? 30+10+30+10=80 actually

Ranking of Jobs:

- Manager → 80 points (Highest)
- Supervisor → 80 points (Next, but less complexity than manager in real case)
- Operator → 70 points

Decision:

- Manager → Highest salary
- Supervisor → Medium salary
- Operator → Lower salary

This ensures fair wage structure based on job value, not person.

Simple College Example (Easy to Remember)

Job	Evaluation Result
Professor	High responsibility → High pay
Lab Technician	Medium responsibility → Medium pay
Attender	Low responsibility → Low pay

Merit Rating (Performance Appraisal)

Merit Rating, also known as Performance Appraisal, is the systematic evaluation of an employee's performance, abilities, and potential for future growth. It helps organizations assess how well employees are performing their jobs and identify areas for improvement.

Merit rating focuses on the individual employee, unlike job evaluation which focuses on the job.

Objectives of Merit Rating

1. To evaluate employee performance
2. To determine promotions and salary increments
3. To identify training and development needs
4. To improve employee efficiency
5. To motivate employees
6. To provide feedback for improvement

Importance of Merit Rating

1. Improves Performance

- Identifies strengths and weaknesses
- Helps employees improve their efficiency

2. Basis for Promotion and Rewards

- Helps management take decisions regarding:
 - Promotions
 - Salary increments
 - Incentives

3. Training and Development

- Identifies skill gaps
- Helps in planning training programs

4. Enhances Motivation

- Recognition of good performance boosts morale
- Encourages employees to perform better

5. Better Communication

- Provides feedback to employees
- Improves employer–employee relationship

Methods of Merit Rating

1. Traditional Methods

Ranking Method

- Employees are ranked from best to worst

Paired Comparison

- Employees are compared in pairs

Grading Method

- Employees are placed into categories (excellent, good, average, poor)

Confidential Report

- Prepared by supervisors (common in government jobs)

Quantitative Methods of Merit Rating

1. Graphic Rating Scale Method

Description:

- Employees are rated on different factors using a scale (e.g., 1 to 10).

Factors:

- Quality of work
- Quantity of work
- Punctuality
- Teamwork

Example:

Criteria	Rating (Out of 10)
Quality	8
Quantity	7
Discipline	9
Teamwork	8

Total Score = 32/40 → Good Performance

2. Point System (Weighted Method)

Description:

- Each factor is assigned a weight based on importance.
- Scores are multiplied by weights.

Example:

Factor	Weight	Score	Weighted Score
Quality	40	8	320
Quantity	30	7	210
Discipline	20	9	180
Teamwork	10	8	80
Total	100	—	790

Performance evaluated based on total score.

3. Ranking Method (Quantitative Form)

Description:

- Employees are ranked based on performance scores.

Example:

Employee Score

A	85
B	75
C	65

Rank: $A > B > C$

4. Paired Comparison Method

Description:

- Each employee is compared with others in pairs.
- Scores assigned based on number of wins.

Example:

Comparison Better Employee

A vs B	A
A vs C	A
B vs C	B

Ranking: A (1st), B (2nd), C (3rd)

5. Management by Objectives (MBO)

Description:

- Performance is measured based on achievement of targets.

Example:

- Target: Complete 5 projects
- Achieved: 4 projects

Performance = 80%

6. 360-Degree Appraisal (Quantitative Form)

Description:

- **Feedback from multiple sources is converted into numerical scores.**

Example:

Source	Score
Manager	8
Peers	7
Subordinates	9

Average Score = 8/10

Factors Considered in Merit Rating

- Quality of work
- Quantity of work
- Knowledge and skills
- Attitude and behavior
- Punctuality and discipline
- Cooperation and teamwork

Advantages of Merit Rating

- Improves employee performance
- Helps in decision-making (promotion, salary)
- Identifies training needs
- Encourages healthy competition
- Enhances job satisfaction

Limitations

- Subjective bias may occur
- Time-consuming process
- May create dissatisfaction if not fair
- Requires skilled evaluators

Example 1: Employee Performance Evaluation in a Company

An organization evaluates an employee (say, a machine operator) based on different performance factors.

Employee Details:

- Name: Ravi
- Department: Production

Evaluation Criteria:

Criteria	Rating (Out of 10)
Quality of work	8
Quantity of work	7
Punctuality	9
Teamwork	8
Discipline	9

Total Score:

$$= 8 + 7 + 9 + 8 + 9 = 41/50$$

Result:

- Performance Level: Very Good
- Decision: Eligible for increment or bonus

This is a typical graphic rating scale method of merit rating.

Example 2: Promotion Decision

In a company, two employees are evaluated:

Employee	Performance Score
A	85%
B	70%

Employee A is promoted because of better performance.

This shows how merit rating helps in promotion decisions.

Example 3: Training Need Identification

An employee scores low in technical skills (4/10) but high in other areas.

Management decision:

- Provide training program to improve skills.

This shows how merit rating helps in employee development.

Example 4: 360-Degree Appraisal (Simple Case)

An employee is evaluated by:

- Manager → 8/10
- Peers → 7/10
- Subordinates → 9/10

Average score = 8/10

Decision: Good leadership performance.

Example of Merit Rating (Faculty in College)

Case: Faculty Performance Evaluation

A college evaluates the performance of a faculty member based on teaching, research, and student feedback.

Faculty Details:

- Name: Dr. Ramesh
- Department: Mechanical Engineering

Evaluation Criteria:

Criteria	Maximum Marks	Score Obtained
Teaching effectiveness	10	8
Subject knowledge	10	9
Student feedback	10	8
Research publications	10	7
Punctuality & discipline	10	9

□ **Total Score:**

$$= 8 + 9 + 8 + 7 + 9 = 41/50$$

Performance Rating:

- 40–50 → Excellent
- 30–39 → Good
- 20–29 → Average

Dr. Ramesh Rating: Excellent

Management Decision:

- Eligible for salary increment

- Recommended for promotion (Assistant Professor → Associate Professor)
- Encouraged to improve research output

Basis	Job Evaluation	Merit Rating
Meaning	Evaluates the job	Evaluates the employee
Purpose	Determine wage structure	Assess employee performance
Focus	Job content (duties, responsibilities)	Employee performance and behavior
Nature	Impersonal	Personal
Objective	Internal equity	Performance appraisal
Time of Use	Before hiring / wage fixation	After employee starts working
Criteria	Skill, effort, responsibility, working conditions	Efficiency, attitude, ability, discipline
Outcome	Job hierarchy and salary levels	Promotions, increments, rewards
Approach	Analytical or non-analytical methods	Rating scales, appraisal methods
Frequency	Occasional	Periodic (monthly/yearly)

Wage Incentive – Plans and Types

Wage incentive plans are schemes designed to **motivate employees** by linking their earnings with performance. Under these plans, workers receive **additional financial rewards** for higher productivity, efficiency, or quality of work.

These plans encourage employees to work better, faster, and more efficiently, thereby improving overall organizational performance.

Objectives of Wage Incentive Plans

1. Increase productivity
2. Motivate employees
3. Reduce labour cost per unit
4. Improve quality of work
5. Encourage efficient utilization of resources
6. Reduce idle time

Types of Wage Incentive Plans

Wage incentive plans are broadly classified into:

1. Individual Incentive Plans

These plans reward individual employee performance.

(a) Halsey Plan

Concept:

Worker receives:

- Guaranteed wage
- Bonus for time saved (usually 50%)

Formula:

$$\text{Bonus} = 50\% \times (\text{Time saved} \times \text{Time rate})$$

Example:

- Standard time = 10 hours
- Actual time = 8 hours
- Time saved = 2 hours
- Rate = ₹100/hour

$$\text{Bonus} = 0.5 \times (2 \times 100) = ₹100$$

$$\text{Total wage} = (8 \times 100) + 100 = ₹900$$

(b) Rowan Plan

Concept:

Bonus depends on proportion of time saved.

Formula:

$$\text{Bonus} = (\text{Time saved} / \text{Standard time}) \times \text{Actual time} \times \text{Rate}$$

Example:

- Standard time = 10 hours
- Actual time = 8 hours
- Time saved = 2 hours
- Rate = ₹100/hour

$$\text{Bonus} = (2/10) \times 8 \times 100 = ₹160$$

$$\text{Total wage} = (8 \times 100) + 160 = ₹960$$

(c) Taylor's Differential Piece Rate System

Concept:

Two wage rates:

- Lower rate for low performance
- Higher rate for high performance

Example:

- Standard output = 50 units/day
- Below standard → ₹5/unit
- Above standard → ₹8/unit

Worker produces 60 units:

$$\text{Wage} = 60 \times 8 = ₹480$$

Worker produces 40 units:

$$\text{Wage} = 40 \times 5 = ₹200$$

(d) Gantt Task and Bonus Plan

Concept:

- Guaranteed wage for minimum work
- Bonus for achieving target
- Extra bonus for exceeding target

Example:

- Standard output = 100 units
- Below 100 → ₹500 (fixed wage)
- 100 units → ₹500 + bonus
- Above 100 → higher bonus

2. Group Incentive Plans

These plans reward team performance.

(a) Priestman Plan

Concept:

Bonus based on total production increase.

Example:

- Standard production = 1000 units
- Actual production = 1200 units

Bonus shared among workers for extra 200 units.

(b) Scanlon Plan

Concept:

Bonus based on reduction in labour cost.

Example:

- Expected labour cost = ₹1,00,000
- Actual cost = ₹80,000

Savings = ₹20,000

Part of savings distributed to employees.

(c) Profit Sharing Plan

Concept:

Employees receive a share of company profits.

Example:

- Company profit = ₹10,00,000
- 10% distributed to employees

₹1,00,000 shared among workers.